

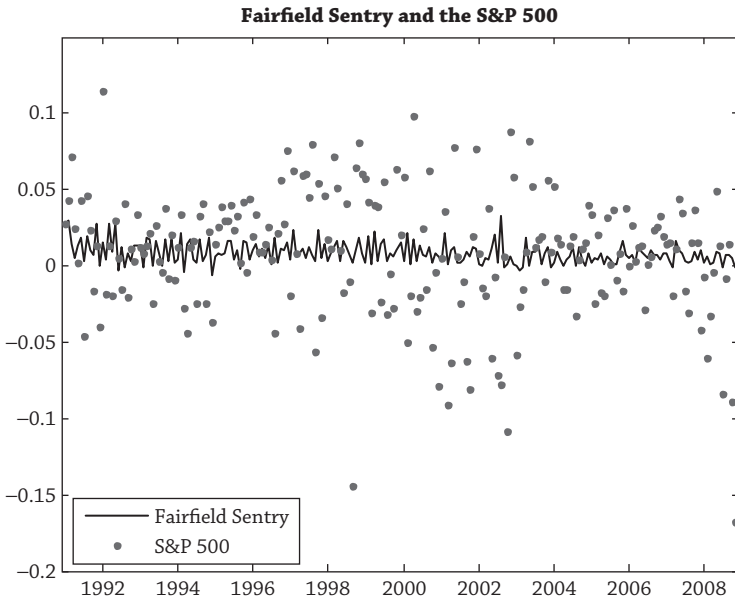


Figure 17.4

the top half a year later is 52%—essentially the same as flipping a coin. Agarwal and Naik (2000) document stronger evidence of persistence, but unfortunately it comes from losers persisting in being losers, rather than winners repeating. On the other hand, Jagannathan, Malakhov, and Novikov (2010) argue that there is significant persistence. Boyson (2008) shows that if persistence of winning HFs does exist, it is concentrated among small and young funds.

Excessive persistence is a sign that something is wrong. In fact, Getmansky, Lo, and Makarov (2004) and Bollen and Pool (2008) develop tests of HF fraud based on fund returns that are “too smooth.” Figure 17.4 graphs monthly returns of one HF in the solid line and overlays S&P 500 returns. The HF in Figure 4 looks terrific, with very smooth and highly mean-reverting returns to a steady mean, especially compared to the volatility of the S&P 500. What’s the fund? Fairfield Sentry, which was a feeder fund to Bernard L. Madoff Investment Securities—the largest Ponzi scheme in history.³¹

3.4. HEDGE FUND FACTORS

HFs take two main approaches to making money: (i) HFs that attempt *market timing* seek to capture market trends—directional trades—and take net long or short

³¹ Fairfield Sentry data are from Bernard and Boyle (2009).